No. 01-463

IN THE

Supreme Court of the United States

IN RE BACKSTREETS PLOWING, INC., DEBTOR,

STEVEN VIN SANT, CHAPTER 7 TRUSTEE, PETITIONER

V.

MILTON WEINBERG, RESPONDENT

On Writ of Certiorari to
the United States Court of Appeals
for the Thirteenth Circuit

BRIEF FOR PETITIONER

—

Team Number P39
Counsel for Petitioner

QUESTIONS PRESENTED

1. Whether the Thirteenth Circuit erred when holding that the automatic stay provision in 11 U.S.C. § 362 (a)(3) is not violated when a secured creditor passively retains possession of property of the estate and prevents a debtor from accessing estate property?
2. Whether the Thirteenth Circuit erred in allowing an administrative expense for substantial contribution in a Chapter 7 case despite 11 U.S.C § 503(b)(3) referring only to Chapters 9 and 11 and not to Chapter 7?

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OPINIONS BELOW

The United States Bankruptcy Court for the District of Moot ruled against Petitioner, the Trustee for the estate ("Trustee"), when it held: (i) Weinberg's retention of snow plow trucks that he legally repossessed prior to the bankruptcy filing, each of which constituted collateral for a loan made to the Debtor, did not violate section 362(a)(3), and (ii) Weinberg was entitled to a substantial contribution administrative expense under section 503(b), notwithstanding section 503(b)(3)(D). (R. at 3.) The Trustee, appealed to the United States Court of Appeals for the Thirteenth Circuit, which affirmed the ruling of the bankruptcy court. (R. at 9.) This Court then granted Trustee's petition for writ of *certiorari*. *Id*.

STATEMENT OF JURISDICTION

The formal statement of jurisdiction is waived pursuant to Competition Rule VIII.

STATUTORY PROVISIONS

11 U.S.C. § 362(a)(3)

(a) Except as provided in subsection (b) of this section, a petition filed under section 301, 302, or 303 of this title, or an application filed under section 5(a)(3) of the Securities Investor Protection Act of 1970, operates as a stay, applicable to all entities, of . . .

> **(3)** any act to obtain possession of property of the estate or of property from the estate or to exercise control over property of the estate.

11 U.S.C. § 363(e)

(e) Notwithstanding any other provision of this section, at any time, on request of an entity that has an interest in property used, sold, or leased, or proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale, or lease as is necessary to provide adequate protection of such interest. This subsection also applies to property that is subject to any unexpired lease of personal property (to the exclusion of such property being subject to an order to grant relief from the stay under section 362).

11 U.S.C. § 502

(a) A claim or interest, proof of which is filed under section 501 of this title, is deemed allowed, unless a party in interest, including a creditor of a general partner in a partnership that is a debtor in a case under chapter 7 of this title, objects.

(b)–(c) [Omitted]

(d) Notwithstanding subsections (a) and (b) of this section, the court shall disallow any claim of any entity from which property is recoverable under section 542, 543, 550, or 553 of this title or that is a transferee of a transfer avoidable under section 522(f), 522(h), 544, 545, 547, 548, 549, or 724(a) of this title, unless such entity or transferee has paid the amount, or turned over any such property, for which such entity or transferee is liable under section 522(i), 542, 543, 550, or 553 of this title.

(e)–(k) [Omitted]

11 U.S.C. § 503(b)

(b) After notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title, including--

(1)–

(A) the actual, necessary costs and expenses of preserving the estate including—

(i) wages, salaries, and commissions for services rendered after the commencement of the case; and

(ii) wages and benefits awarded pursuant to a judicial proceeding or a proceeding of the National Labor Relations Board as back pay attributable to any period of time occurring after commencement of the case under this title, as a result of a violation of Federal or State law by the debtor, without regard to the time of the occurrence of unlawful conduct on which such award is based or to whether any services were rendered, if the court determines that payment of wages and benefits by reason of the operation of this clause will not substantially increase the probability of layoff or termination of current employees, or of nonpayment of domestic support obligations, during the case under this title;

(B)–(D) [Omitted]

(2) [Omitted]

(3) the actual, necessary expenses, other than compensation and reimbursement specified in paragraph (4) of this subsection, incurred by--

(A) a creditor that files a petition under section 303 of this title;

(B) a creditor that recovers, after the court's approval, for the benefit of the estate any property transferred or concealed by the debtor;

(C) a creditor in connection with the prosecution of a criminal offense relating to the case or to the business or property of the debtor;
(D) a creditor, an indenture trustee, an equity security holder, or a committee representing creditors or equity security holders other than a committee appointed under section 1102 of this title, in making a substantial contribution in a case under chapter 9 or 11 of this title;
(E) a custodian superseded under section 543 of this title, and compensation for the services of such custodian; or
(F) a member of a committee appointed under section 1102 of this title, if such expenses are incurred in the performance of the duties of such committee;
(4) reasonable compensation for professional services rendered by an attorney or an accountant of an entity whose expense is allowable under subparagraph (A), (B), (C), (D), or (E) of paragraph (3) of this subsection, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title, and reimbursement for actual, necessary expenses incurred by such attorney or accountant;
(5) reasonable compensation for services rendered by an indenture trustee in making a substantial contribution in a case under chapter 9 or 11 of this title, based on the time, the nature, the extent, and the value of such services, and the cost of comparable services other than in a case under this title;
(6)–(9) [Omitted]

11 U.S.C. § 507(a)
(a)–
(1) [Omitted]
(2) Second, administrative expenses allowed under section 503(b) of this title, unsecured claims of any Federal reserve bank related to loans made through programs or facilities authorized under section 13(3) of the Federal Reserve Act (12 U.S.C. 343),[1] and any fees and charges assessed against the estate under chapter 123 of title 28.
(3)–(10) [Omitted]

11 U.S.C. § 541(a)(1)
(a) The commencement of a case under section 301, 302, or 303 of this title creates an estate. Such estate is comprised of all the following property, wherever located and by whomever held:
(1) Except as provided in subsections (b) and (c)(2) of this section, all legal or equitable interests of the debtor in property as of the commencement of the case.

11 U.S.C. § 542(a)

(a) Except as provided in subsection (c) or (d) of this section, an entity, other than a custodian, in possession, custody, or control, during the case, of property that the trustee may use, sell, or lease under section 363 of this title, or that the debtor may exempt under section 522 of this title, shall deliver to the trustee, and account for, such property or the value of such property, unless such property is of inconsequential value or benefit to the estate.

STATEMENT OF THE CASE

This is a bankruptcy appeal arising out of the course of conduct between a debtor and its primary creditor, both before and after the commencement of the bankruptcy case. Backstreets Snowplowing, Inc., the Debtor and Respondent in this case, is a seasonal snow plowing business, which was owned by one shareholder, Christopher Clemons ("Clemons"). (R. at 3.) In August of 2015, the Debtor borrowed $450,000 from an acquaintance of Clemons named Milton Weinberg ("Weinberg") in order to purchase new plow trucks. (R. at 3-4.) To secure repayment of the loan, the Debtor granted Weinberg a perfected security interest in the trucks and Clemons also gave a personal guarantee on the loan. (*Id*.)

After several missed payments, in April 2016, Weinberg sued the Debtor for repayment of the loan and joined Clemons because of his personal guarantee. (*Id*.) In October 2016, Weinberg obtained a default judgment in the State of Moot Circuit Court against both parties, jointly and severally, for $450,000. Yet Weinberg did not take any action to collect on the default judgment. (R. at 5.)

Heavy snowfall throughout the winter of 2016-2017 strained the Debtor's resources, resulting in substantial losses for the business. (*Id*.) In January 2017, Weinberg began collection on the default judgment, hiring a repossession company that successfully repossessed the trucks from the Debtor's parking lot. The trucks were taken to Weinberg's warehouse, where they remain to this day. (R. at 6.) Without its trucks, the Debtor was unable to fulfill its contracts and on February 4, 2017, the Debtor commenced a bankruptcy case under chapter 11 of the United States Code (the "Bankruptcy Code"). (*Id*.)

Soon after the filing of the petition, the Debtor's attorney sent Weinberg a letter demanding that the trucks be returned. (*Id*.) Weinberg refused. (*Id*.) The Debtor filed a motion asking the bankruptcy court to determine that Weinberg's continued retention of the trucks

constituted a violation of the automatic stay under section 362(a)(3).[1] (R. at 6.) Though stating that it was a "close call," the bankruptcy court held that Weinberg's retention of the trucks did not violate the automatic stay despite section 362(a)(3)'s language that prohibits any act "to exercise control over property of the estate." (*Id*.) The Debtor timely appealed the bankruptcy court's ruling. (*Id*.)

In April 2017, the Debtor converted its case to one under chapter 7 of the Bankruptcy Code, and the Trustee was appointed to administer over the bankruptcy proceedings. (R. at 7.) After the case was converted, Weinberg pursued separate collection efforts against Clemons on the judgment relating to his personal guarantee. (*Id*.) Weinberg hired a law firm to undertake a creditor's examination of the Debtor's expenses. The examination revealed incidentally that the Debtor had transferred approximately $100,000 in cash to a non-company bank account. (*Id*.) Without being requested to do so by the Trustee, Weinberg gave that information to the Trustee. The Trustee thereafter filed a complaint against the account's owner and sought to avoid the transfer of money under the fraudulent transfers provisions in sections 548 and 550. A settlement was reached and $75,000 was promptly returned to the Trustee. (R. at 7.)

Despite undertaking the investigation in connection with his own collection action against Clemons and not in connection with the bankruptcy case, Weinberg filed a motion seeking reimbursement from the Debtor's estate of $25,000 of legal fees that he had incurred as a substantial contribution administrative expense under section 503(b). (*Id*.) Opposing the motion, the Trustee argued that administrative expenses for substantial contributions are not permissible in chapter 7 cases, as section 503(b)(3)(D) only allowed such expenses in chapters 9 and 11

[1] All references to sections are to those sections of the Bankruptcy Code, unless otherwise stated.

cases. (R. at 8.) The bankruptcy court nonetheless granted Weinberg's motion. The Trustee timely appealed. (*Id.*)

In September 2017, the Trustee received an offer to buy substantially all of the Debtor's assets, including the trucks. (*Id.*) The buyer's offer was contingent on the Trustee immediately obtaining possession of the trucks that were in Weinberg's possession. (R. at 8.) The Trustee attempted to secure the return of the trucks, but Weinberg refused. The Trustee continued prosecution of the appeal regarding Weinberg's violation of the automatic stay. (*Id.*) In November 2017, due to the delay from Weinberg's refusal, the purchaser withdrew its offer. (*Id.*) In January 2018, a second buyer offered to buy the Debtor's assets, excluding the trucks, for $100,000 less than what the first buyer offered. (*Id.*) As the Debtor's remaining assets were diminishing in value, the Trustee accepted this offer, and in February 2018, the bankruptcy court approved the sale. (R. at 8-9.)

The two appeals were consolidated before the United States Court of Appeals for the Thirteenth Circuit, which affirmed on both issues. (*Id.*) The Trustee timely appealed both determinations to this court. (*Id.*)

SUMMARY OF THE ARGUMENT

Bankruptcy is a collective process, designed to gather together the assets and debts of the debtor and to affect a beneficial reorganization or an equitable distribution of those assets on account of the debts. Section 362 (a)(3)'s automatic stay provision is violated when a secured creditor refuses to turn over possession of estate property in the creditor's control to the bankruptcy estate. The statute's plain meaning and this Court's well-defined precedent on point compel this conclusion. Statutory interpretation begins with the statutory text. The plain meaning of "exercise control" and "act" in section 362(a)(3) prohibits creditors from passively retaining

estate property and refusing access to a debtor. Holding onto estate property, refusing to return it, and otherwise prohibiting a debtor's beneficial use of estate property all fit within this definition. It is clear that "exercising control" in section 362(a)(3) therefore applies to continuing exclusive possession of collateral, which is precisely what Weinberg had by keeping the trucks. To hold otherwise is at odds with the plain meaning of "exercising control" and it is in direct contravention of the creditor's obligations under the Bankruptcy Code.

This Court's prior precedent makes clear that section 362(a)(3) restrains all manner of control of estate property, regardless of how such property might have been treated outside of bankruptcy. *Stare decisis* provides that today's court should stand by yesterday's decisions. The lower court's decision is at odds with both this Court's prior precedent and with the decisions of the majority of courts applying that precedent in circumstances such as these. The interpretation of section 362(a)(3) does not rely on whether section 542(a) is self-effectuating or not; it relies on strong court precedent established by this Honorable Court in *United States v. Whiting Pools*, on the bankruptcy principle of the importance of reorganization of the bankruptcy estate. "The Bankruptcy Code provides secured creditors various rights, including the right to adequate protection, and these rights replace the protection afforded by possession." *United States v. Whiting Pools*, 462 U.S. 198, 207 (1983).

The answer to the second issue of whether an administrative expense can be granted to a substantial contribution in a chapter 7 case is also found in the plain meaning of the statute. Section 503(b)(3)(D) states that an administrative expense will be granted to "a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D). Yet it is argued that the general language of section 503(b) is broad enough to overlook the specific provision on substantial contributions to extend to chapter 7 cases.

However, reading the statute through the well accepted canons of statutory interpretation demonstrates that sections 503(b) and 503(b)(3)(D) prohibit the allowance of substantial contribution claims in chapter 7 cases. First, the specific language of section 503(b)(3)(D) prevails over the general language of section 503(b). Second, if administrative expense status were granted to substantial contributions in chapter 7 cases, the language of section 503(b)(3)(D) would be rendered superfluous. Finally, under the canon of *expressio unius est exclusio alterius,* by including chapters 9 and 11 in section 503(b)(3)(D), Congress intentionally excluded administrative expenses from being granted to substantial contributions in chapter 7 cases. This reading is further supported by the legislative history in drafting section 503(b).

The statute clearly limits administrative expenses to only two chapters, a congressional choice clearly in keeping with the policy of keeping fees and administrative expenses at a minimum so as to preserve as much of the estate as possible for the creditors. If creditors such as Weinberg wished to receive an administrative expense for the costs of investigating fraudulent transfers in a chapter 7 cases, such creditors can do so by first obtaining court approval under sections 503(b)(3)(B) or 503(b)(4). Courts are not empowered to use principles of equity to circumvent the express statutory provisions adopted by Congress.

ARGUMENT

In dispute are two conclusions of law. Neither party disputes the facts set forth herein. (R. at 3.) Thus, the standard of review is *de novo. U.S. Bank Nat. Ass'n ex rel. CWCapital Asset Mgmt. LLC v. Vill. at Lakeridge, LLC,* 138 S. Ct. 960, 967 (2018).

I. Section 362(a)(3)'s Prohibition on Exercising Control over Property of the Estate Applies to all Property, Regardless of How Such Property Might Have Been Treated Outside of Bankruptcy.

The first issue for the Court to determine is whether Weinberg should be afforded special treatment under section 362(a)(3) than that afforded all other creditors. When a debtor files for relief under the Bankruptcy Code, the automatic stay in section 362 prevents creditors from taking further action against it except through the bankruptcy court. A violation of the automatic stay includes "any act . . . to exercise control over property of the estate." 11 U.S.C. § 362(a)(3).

Weinberg, as a creditor in possession of estate property, was required upon the commencement of the Debtor's bankruptcy case to turn over the trucks to the bankruptcy estate. 11 U.S.C. § 542(a). It is not disputed that that the trucks constitute property of the estate within the scope of section 541(a)(1). (R. at 10.) Nor is it disputed that Weinberg, without authorization from the bankruptcy court and in violation of his obligations under section 542, retained possession of the trucks after the commencement of the bankruptcy case. (R. at 10.)

The majority of appellate circuit courts have agreed that retention of estate property constitutes a prohibited exercise of control based on the scope of section 362(a)(3). *See, e.g.*, *Weber v. SEFCU* (*In re Weber*), 719 F.3d 72, 81 (2d Cir. 2013); *Thompson v. Gen. Motors Acceptance Corp.*, 566 F.3d 699, 703 (7th Cir. 2009); *In re Knaus*, 889 F.2d 773, 775 (8th Cir. 1989); *In re Del Mission Ltd.*, 98 F.3d 1147, 1151-52 (9th Cir. 1996) (holding that failure to return a repossessed car after receiving notice of the debtor's bankruptcy violated section 362(a)(3)). Yet, a minority of courts, including the Thirteenth Circuit in this case, have concluded that the word "act" in section 362(a)(3) requires affirmative, post-petition conduct in order for the stay to be violated. *See Davis v. Tyson Prepared Foods, Inc.* (*In re Garcia*), 740

Fed. Appx. 163, 164 (10th Cir. 2018); *WD Equip., LLC v. Cowen* (*In re Cowen*), 849 F.3d 943, 948 (10th Cir. 2017); *United States v. Inslaw Inc.*, 932 F.2d 1467, 1474 (D.C. Cir. 1991).

The majority's interpretation should be accepted for two reasons. First, the plain language of 362(a)(3) includes the retention of and the refusal for the Debtor to access estate property. Second, this Court's well-defined precedent demonstrates that section 362(a)(3) restrains all manner of control of estate property, regardless of how such property might have been treated outside of bankruptcy. The points will be discussed in turn.

A. The plain meaning of "exercise control" and "act" in section 362(a)(3) includes retention of estate property and refusing access to the same.

Statutory interpretation begins "with the language of the statute itself." *Marx v. Gen. Revenue Corp.*, 568 U.S. 371, 388 (2013). Congress "says in a statute what it means and means in a statute what it says. . . ." *Conn. Nat'l Bank v. Germain*, 503 U.S. 249, 253–54 (1992). "[W]hen the words of a statute are unambiguous, then the first canon is also the last: 'judicial inquiry is complete." *Id*. Absent an ambiguity in the statute, the courts' duty is to enforce the plain meaning of the statute. *See Union Bank v. Wolas,* 502 U.S. 151, 158 (1991).

Section 362(a)(3) states that a violation of the automatic stay includes "any act . . . to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). The definition of "control" is "[t]o exercise authority over; direct; command." Webster's New World College Dictionary (4th ed. 2002). This would include keeping custody of property and refusing access to or use of it. Thus, as held by the Second Circuit, a creditor "exercises control" by retaining estate property. *Weber*, 719 F.3d at 79; *see also Thompson*, 566 F.3d at 702 (arriving at the same conclusion using a different dictionary).

Congress' 1984 amendment to the Bankruptcy Code supports this conclusion. Before the amendments, the automatic stay provisions previously had broad language such as "acts to obtain

possession" of property of the estate. *Weber*, 719 F.3d at 80. However, Congress added further sweeping language to include "any act ... to exercise control over the property of the estate." *Id*. Thus "exercising control" must mean something more than taking an affirmative step to take possession. *Id*. As held by the Second Circuit, "This significant textual enlargement is consonant with our understanding … that Congress intended to prevent creditors from retaining property of the debtor … without regard to what party was in possession of the property in question when the petition was filed." *Id*.

Yet, the Thirteenth Circuit suggests that "exercising control" language was added by Congress in the 1984 amendment to bring intangible property not capable of physical possession within the scope of the stay. (R. at 15.) Relying on *Computer Communications*, the minority of circuit courts of appeal argue "exercising control" was added to bring intangible property within the scope of the stay provision. *In re Computer Communications, Inc*., 824 F.2d 725 (9th Cir. 1987). This reasoning is unpersuasive for multiple reasons.

First, nothing in the statute leads to such a narrow interpretation of the language, "exercise control over property." The definition of property of the estate is broader than just intangible property. *Id*. at 729. Sections 541's definition includes "all legal or equitable interests of the debtor in property as of the commencement of the case." 11 U.S.C. § 541(a)(1). "It includes all kinds of property, including tangible or intangible property [and] causes of action. . . ." H.R.Rep. No. 595 at 367, *reprinted in* 1978 U.S. Code Cong. & Admin. News at 6323. The

Second, the amendment was not intended only to cover intangible property because intangible property was included in the automatic stay prior to 1984. This Court had already determined in *Whiting Pools*, prior to the 1984 amendment, that intangible property was within the scope of section 541 property of the estate. 462 U.S. 198, 204–05. If intangible property is

within the scope of property of the estate then it is also within the scope of the stay, since section 362(a)(3) prohibits "any act … to exercise control over property of the estate." 11 U.S.C. § 362(a)(3). Based on this broad definition of property of the estate, that the minority view argues that it is plausible that the prohibition against "exercising control" was aimed at protecting "intangible property rights" that belong to the estate, because intangible property rights cannot be "possessed." (R. at 15.) The lower court fails to cite any case law to support the legal proposition that intangible property rights cannot be possessed. *Id*.

Furthermore, prior to the 1984 amendment, courts have had no problem in holding that intangible property rights could be possessed. For example, a Maryland bankruptcy court, prior to the 1984 amendment, held that intangible property rights, for instance rights acquired under a license agreement, are properties of the estate and capable of possession. *Matter of R.S. Pinellas Motel Partn*., 2 B.R. 113, 118 (Bankr. M.D. Fla. 1979). The court held that an attempt to cancel such rights, after the commencement of the case may come within the provisions of section 362(a)(3). *Id.* The Ninth Circuit has also held that insurance contracts are embraced in the statutory definition of "property." *In re Minoco Group of Companies, Ltd.*, 799 F.2d 517, 519 (9th Cir.1986).

Prior to the 1984 amendments courts have also held that intangible property is within the scope and protection of the automatic stay. *In re Adana Mortg. Bankers, Inc.*, 12 B.R. 989, 1004 (Bankr. N.D. Ga. 1980), *vacated by joint motion of both parties*, 687 F.2d 344 (11th Cir. 1982); *see also, In re Sentinel Energy Control Sys., Inc.*, 27 B.R. 795 (Bankr. D. Mass. 1983) (holding that automatic stay with respect to state contract suit against debtor would be continued). The lower court's argument thus, proves unpersuasive and it lacks any legal basis. Instead, it is an argument based on speculation about what Congress was concerned with when it wrote the 1984

amendment. The lower court's interpretation, therefore, fails to give weight to the fundamental principles of statutory interpretation, which is to look at the plain meaning of the text and stop there were no ambiguity exists. *Conn. Nat'l Bank*, 503 U.S. at 253–54.

Another argument by the Thirteenth Circuit is that somehow the phrase "acts to exercise control over estate property" is ambiguous. (R. at 10.) The Thirteenth Court relies on but misreads *U.S. v. Inslaw, Inc*. 932 F.2d 1467, 1474 (D.C. Cir. 1991). In *Inslaw*, the court found ambiguity not in the meaning of "exercising control" of the property, but in the nature of the property at issue. *Id.* The property at issue was the debtor's "intangible trade secret rights." *Id.* The court held that the creditors continuous use of the trade secrets did not violate the automatic stay because a debtor cannot use the turnover provision to assert claims over property over whose title is in dispute. Therefore, *Inslaw* is not based on the interpretation of the phrase "exercise control," but on the nature of the property. *Id.*

The Supreme Court made the same distinction, holding that a bank did not violate section 362(a)(3) by placing a temporary freeze on a depositor's account. *Citizens Bank of Maryland v. Strumpf*, 516 U.S. 16, 21 (1995). The Court said that the bank would have been exercising control over property and thus violated the automatic stay "if a bank account consisted of money belonging to the depositor and held by the bank." *Id.* But a bank account is not property in the generally accepted sense, consisting instead of nothing more than a promise to pay. *Id.* The bank's temporary refusal to pay was therefore not a taking of possession of the debtor's property nor an exercise of control over it, the bank was merely refusing to perform its promise. *Id. Inslaw* is therefore not persuasive because just like the *Strumpf* decision, the court's analysis on whether there was an automatic stay violation depends on the nature of the property at issue, not on an analysis of the phrase "exercise control."

In addition, holding that "exercising control" over an asset encompasses only selling or destroying the asset is inconsistent with the central purpose of reorganization bankruptcy. *Thompson*, 566 F.3d at 702. "Above all, bankruptcy is a collective process, designed to gather together the assets and debts of the debtor and to effect an equitable distribution of those assets on account of the debts. The more participation there is; the better this process works." *Levit v. Ingersoll Rand Fin. Corp.*, 874 F.2d 1186, 1194 (7th Cir. 1989). To be effective, bankruptcy cases must gather *all* of the debtor's property into the debtor's estate so that such property may be used to generate income to pay the debtor's creditors or be liquidated for the benefit of all concerned. *Id*. This clearly includes property in another's possession. *See Whiting Pools, Inc.*, 462 U.S. at 203-04. Collateral actively used by a debtor serves a greater purpose to both the debtor and his creditors than an asset sitting idle on a creditor's lot. *Thompson*, 566 F.3d at 702. The Supreme Court held in *Whiting Pools* that the bankruptcy estate of a debtor included property of the debtor which had been seized by the IRS prior to filing a petition for reorganization. *Whiting Pools, Inc.*, 462 U.S. at 198. As one commentator has noted, if "exercising control" over estate property does not include passively retaining exclusive possession of property the question arises as to what it does include. Wedoff, 38 Bankr. L. Letter No. 7 at 4. The phrase "exercise control" of section 362(a)(3) cannot simply mean selling the property or using it to reduce the creditor's claim because section 362(a)(6) separately stays any act "to collect, assess, or recover a claim against the debtor." *Id.*

The term "act" in section 362(a)(3) may also be considered in light of its plain meaning. The term "act" is defined as "the process of doing something or performing." Act, Black's Law Dictionary (10th ed. 2014). *Cowen* erroneously concludes that the statute unambiguously precludes entities from "*doing something*" to obtain possession of, or exercise control over

property of the estate because *Cowen* fails to see how retaining possession of collateral lawfully repossessed and preventing the debtor assess or use to said collateral plainly constitutes an *act* to exercise control. The *Cowen* court holding that in the absence of some post-petition "act" by the non-debtor party no stay violation exists is erroneous because it runs contrary to the plain meaning of the word "act." *Cowen,* 849 F.3d at 949. This is especially true in the face of such creditor's affirmative duty to turn over such property to the estate under section 542. "[A]n entity...in possession of... property that the trustee may use, sell, or lease under section 363... *shall* deliver to the trustee..." such property. (*emphasis added*). 11 U.S.C. §542(a). The majority of courts of appeal have held that section 542(a) works with the stay provision in section 362(a) "to draw back into the estate a right of possession that is claimed by a lien creditor pursuant to a pre-petition seizure" and thus the Code substitutes adequate protection for possession as one of the creditor's rights in the bankruptcy case. *In re Sharon,* 234 B.R. 676, 683 (1999). Therefore, section 542(a) imposes an affirmative duty on the creditor to return property to the bankruptcy estate.

This Court stated that the Food, Drug and Cosmetic Act imposes both a duty to act in accordance with its mandates but also a duty to ensure that violations will not occur. *U.S. v. Park* 421 U.S. 658, 658-59 (1971).Thus, it punishes "inaction where it imposes a duty." *Id*. at 671; *see also Morissette v. United States*, 342 U.S. 246, 255 (1952). This Court held that a government's decision not to train – essentially an *inaction* – could be the action necessary to constitute a civil rights violation under 42 U.S.C. § 1983. *Connick v. Thompson*, 563 U.S. 51, 61 (2011). Weinberg's inaction therefore, is a violation of the automatic stay, because he had a duty to return the trucks pursuant to section 542(a).

The court in *Inslaw* states that "[t]he automatic stay, as its name suggests, serves as a restraint only on acts *to gain* possession or control over property of the estate,'' and suggests that section 362(a)(3) cannot apply if "a creditor does nothing and simply retains possession of property that the creditor already has in its possession." *Inslaw*, 932 F.2d at 1474. (*emphasis added*). The concept of gaining control is not, however, in the statute. Section 362 speaks to obtaining possession, but control is not so modified. It is clear therefore that the plain meaning of "exercising control" in section 362(a)(3) applies to continuing exclusive possession of collateral, which is precisely what Weinberg did by keeping the trucks. There is a common meaning of "exercising control over property" and that is, holding it to the exclusion of others. *Weber*, 719 F.3d at 79.

In *Thompson*, the court considered retention of possession in the context of an all too common occurrence, where "a buyer defaults on his car payments, a secured creditor seizes the asset, [and] the buyer files for Chapter 13 bankruptcy." 566 F.3d at 702. Such debtors often need their vehicles to work and generate income for the benefit of their creditors. "[T]he big question that ensues is whether the creditor must return the car to the bankruptcy estate." *Id*. *Thompson* held that a creditor "exercises control" over estate property within the meaning of the automatic stay statute by refusing to return it to the bankruptcy estate upon request. *Id*. at 703. To hold otherwise is at odds with the plain meaning of "exercising control" and is in direct contravention of the creditor's obligations under the Bankruptcy Code. *Id*. at 702; 11 U.S.C. § 542(a). Therefore, based on the plain meaning of section 362(a)(3) Weinberg violated the automatic stay provision when he refused to return the trucks to the bankruptcy estate.

B. This Court's prior precedent requires the lower courts to adopt the majority's position, that section 362(a)(3) restrains all manner of control of estate property, regardless of how such property might have been treated outside of bankruptcy.

Stare decisis provides that today's court should stand by yesterday's decisions and is "a foundation stone of the rule of law." *Michigan v. Bay Mills Indian Community,* 572 U.S. 782, 798 (2014). Application of that doctrine, although "not an inexorable command," is the "preferred course because it promotes the evenhanded, predictable, and consistent development of legal principles, fosters reliance on judicial decisions, and contributes to the actual and perceived integrity of the judicial process." *Payne v. Tennessee,* 501 U.S. 808, 827–828 (1991). This Honorable Court has already decided the importance of both Congressional goals of encouraging reorganization and of protecting secured creditors "by imposing limits or conditions on the trustee's power to sell, use, or lease property subject to a secured interest, rather than by *excluding* such property from the reorganization estate." *Whiting Pools, Inc.,* 462 U.S. at 198.

This Court stated that the Bankruptcy Code does not authorize free-wheeling consideration of every conceivable equity, but the focus is on how the equities relate to the success of the reorganization. *N.L.R.B. v. Bildisco and Bildisco,* 465 U.S. 513, 527 (1984). This court has time and time again acknowledged the goal of the Bankruptcy Code, which prioritizes the reorganization of the estate. It is a fundamental rule of construction that "the act cannot be held to destroy itself." *Citizens Bank of Md. v. Strumpf,* 516 U.S. 16, 20 (1995). The majority view's interpretation of section 362(a)(3) is faithful to the policies behind the Bankruptcy Code, and it does not contradict any bankruptcy principle to hold that a secured creditor's passive retention of estate property violates the automatic stay. In fact, the majority's interpretation is most faithful to the bankruptcy principle in favor of bankruptcy reorganization established by this Honorable Court in *Whiting* Pools, in that it enables the debtor/trustee to have access to its

estate property in order to facilitate success in reorganization. The goal of reorganization was defeated precisely because Weinberg retained estate property critical to the going concern value of the business.

This Court acknowledged in *Whiting Pools* that section 542(a) contains "explicit limitations," but that given the importance on the reorganization of the bankruptcy estate, estate property has to be interpreted broadly, and thus property of the debtor repossessed by a secured creditor falls within this rule and may be drawn into the estate. 462 U.S. 198, 205–06 (1983). The Court held that despite the limitations of 542(a), the statute does not require that a debtor hold a possessory interest in the property at the commencement of the bankruptcy proceeding. *Id.*

The minority argues that full understanding of this issue requires an understanding of the relationship between two additional Bankruptcy Code provisions, section 363 and 542. (R. at 12.) Section 363 authorizes a trustee to use or sell estate property with court approval. 11 U.S.C. § 363. Section 363(e) protects third parties who have an interest in estate property, by providing that:

> Notwithstanding any other provisions of [section 363], at any time, on request of an entity that has an interest in property… proposed to be used, sold, or leased, by the trustee, the court, with or without a hearing, shall prohibit or condition such use, sale or lease as is necessary to provide adequate protection of such interest.
>
> 11 U.S.C. § 363(e).

Section 542(a) states in pertinent part: "an entity… in possession, custody, or control, during the case, of property that the trustee may use, sell… under section 363" shall deliver the property to the trustee "*unless* such property is of inconsequential value or benefit to the estate." 11 U.S.C. § 542(a) (*emphasis added*). The minority therefore argue that, according to the majority, section 542(a) must be self-executing, because by holding that a creditor violates section 362(a)(3) by simply retaining possession of estate property the majority fails to account

for section 363's adequate protection provisions, and the explicit limitations within section 542(a) itself. (R. at 12.)

This Court, however, already spoke regarding section 542 adequate protection provision in *Whiting Pools.* This Court stated that turnover is not required in three situations, and lack of adequate protection is not one of them. *Whiting Pools*, 462 U.S. at 206. Turnover is not required when the property is of inconsequential value or benefit to the estate, section 542(a), when the holder of the property has transferred it in good faith without knowledge of the petition, section 542(c), or when the transfer of the property is automatic to pay a life insurance premium, section 542(d). *Id*.

Also, the majority's interpretation does not depend on the conclusion that section 542(a) is self-executing. There is no such thing as a self-executing statute. The "automatic stay" is not fully automatic. Its scope must be interpreted and violations need court intervention. The turn over provision of section 542 is no different than any other Code provision in this regard. 11 U.S.C. § 542. In fact, a violation of section 542 does nothing to a creditor, without some further statute being applied. *Id*. Section 542 contains no enforcement mechanism. *Id*. So, if anything, it is further from being self-executing than section 362, or section 541, or other sections that say what happens if they are violated. 11 U.S.C. § 361; 11 U.S.C. § 541. Section 542 requires another statute to give it effect. Section 502(d) is one obvious possibility but that only bites if the creditor files a claim. 11 U.S.C. § 502(d). Section 362 is therefore needed to give section 542 teeth. The two provisions work in tandem to protect estate property that rightfully should benefit the estate and creditors as a whole. Instead, section 362(d) "works in tandem with § 542(a) to provide creditors with what amounts to an affirmative defense to the automatic stay." *Thompson*, 566 F.3d at 704.

This Court's decision in *Whiting Pools* along with many other policy considerations, support the interpretation of section 362(a)(3) made by the majority of the courts of appeal. 566 F.3d at 703–04. It is the burden of the creditor to request adequate protection for its interest either directly under 363(e) or by moving for relief from the stay under 362(d)(1). *Id.* If a creditor, however, is allowed to retain possession, then his burden is rendered meaningless-a creditor has no incentive to seek protection of an asset of which it already has in possession. *Id*. In order for section 363(e) to have any meaning, Congress must have intended for the asset to be returned to the bankruptcy estate before the creditor seeks protection of its interest. *Id.*

There is no evidence that there was a uniform pre-Code procedure to require a debtor to offer adequate protection prior to a court ordering the asset's turnover. *Thompson*, 566 F.3d at 705–06. the turnover of collateral in the hands of a secured creditor." *Whiting Pools*, 462 U.S. at 208; 566 F.3d at 705–06, *In re Sharon,* 200 B.R. 181, 190-91 (1996). 200 B.R. 181, 190-91 (1996).

Under the present Bankruptcy Code, however, the creditor has an affirmative duty. No order is needed. Section 363(e), provides for adequate protection "on request of an entity that has an interest in [estate] property." 11 U.S.C. § 363(e); *Whiting Pools, Inc.*, 462 U.S. at 204. ("At the secured creditor's insistence, the bankruptcy court must place such limits or conditions … as are necessary to protect the creditor."). Therefore, a creditor may request adequate protection under section 363(e) but may not refuse to perform its obligations under the statute. *Id*. It is clear that the 1984 amendment which prohibits a creditor from retaining collateral sought by a debtor, did not affect the creditor's section 363(e) right to adequate protection, but merely changed the party with possession of the property during the time the court considered the creditor's request for adequate protection. *Id.*; Wedoff, 38 Bankr. L. Letter No. 7 at 2. It is the existence of the right

to adequate protection under section 363 that protects creditors in the position of Weinberg, not the refusal to obey the requirements of section 542. Such refusal is rightfully considered a violation of the automatic stay.

The minority view argues that the amendment in 1984 does not mandate the majority's interpretation of section 362(a)(3) because they argue that if Congress wanted to add an affirmative duty to turnover property it would have done so explicitly, or would have added it under section 542 instead. *Cowen*, 849 F.3d at 950. As previously stated, however, section 542 by its plain language already imposed an affirmative duty on the creditor to deliver property to the bankruptcy estate prior to the 1984 amendment. *Whiting Pools, Inc.*, 462 U.S. at 205. The minority's argument thus, puts far too much weight on the concerns of the legislature at the time they passed the amendment and attempts to guess at what was going on in the heads of the legislators. But this Court has held that "it is ultimately the provisions of our laws rather than the principal concerns of our legislators by which we are governed." *Oncale v. Sundowner Servs. Inc.*, 523 U.S. 75 (1998).

The majority's interpretation of section 362(a)(3) therefore does not rely on whether section 542(a) is self-effectuating or not, it relies on strong court precedent established by this Honorable Court in *Whiting Pools*, of the bankruptcy principle of the importance of reorganization of the bankruptcy estate. "The Bankruptcy Code provides secured creditors various rights, including the right to adequate protection, and these rights replace the protection afforded by possession." *Whiting Pools*, 462 U.S. at 207. The 1984 amendment was required because prior to the amendment "the Code's stay provision only prohibited any act to obtain possession of property belonging to a bankruptcy estate." *Thompson*, 566 F.3d at 702. The 1984 amendment thus broadened the provision of the automatic stay to prohibit "any act… to exercise

control over the property of the estate." *In re Weber*, 719 F.3d at 80. Therefore, the majority's interpretation of section 362(a)(3) is more faithful to this already established precedent, because it allows for the reorganization of the bankruptcy estate, by prohibiting a secured creditor from passively retaining collateral from the estate.

Because the Thirteenth Circuit's ruling fails to respect the plain language of section 362(a)(3), and this Court's prior precedent, the Petitioner respectfully request that this Court find that Weinberg has indeed violated the automatic stay in this case and reverse the determination of the Thirteenth Circuit.

II. Both the Plain Language of Section 503(b)(3)(D) and the Overriding Purposes of Bankruptcy Preclude Allowing Administrative Expense Claims for Substantial Contribution in Chapter 7 Cases.

The Thirteenth Circuit also erred when it permitted Weinberg, a creditor whose very actions necessitated the bankruptcy filing and failure to reorganize, to recover an administrative claim in the resulting liquidation for actions taken solely for Weinberg's benefit. The issue is whether Weinberg, a creditor, can be granted an administrative expense for making a substantial contribution in a chapter 7 case. However, the Bankruptcy Code only allows for "a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title" to be granted an administrative expense. 11 U.S.C. § 503(b)(3)(D). The statute therefore does not allow for the cost to be an administrative expense in chapter 7 cases.

Yet the Thirteenth Circuit held that creditors in chapter 7 cases should be able to have substantial contributions as administrative expenses. The court held that section 503(b)(3)(D) is not the controlling authority on substantial contributions but one of many examples of administrative expenses, based on section 503(b)'s use of the term "including." The overall

equitable nature of the Bankruptcy Code is also cited as giving the bankruptcy courts the discretion to grant administrative expenses despite the clear text of section 503(b).

The majority of courts have rejected the position taken by the Thirteenth Circuit and instead have ruled that the text of section 503(b)(3)(D) precludes substantial contributions from being awarded administrative expense priority in chapter 7 cases. *See In re Lloyd Sec., Inc.*, 75 F.3d 853, 857 (3d Cir. 1996); *Lebron v. Mechem Fin. Inc*., 27 F.3d 937, 946 (3d Cir. 1994); *In re Fesco Plastics Corp., Inc.*, 996 F.2d 152, 157 n.5 (7th Cir. 1993); *Goodman v. Phillip R. Curtis Enter., Inc.*, 809 F.2d 228, 231 n.4 (4th Cir. 1987); *In re Am. Motor Club, Inc*., 125 B.R. 79, 82 (Bankr. E.D.N.Y. 1991) (Duberstein, J.). As of 2015, 86% of bankruptcy and district courts denied recovery of substantial contribution claims in chapter 7 cases. *In re Health Trio, Inc*., 584 B.R. 342, 353 (Bankr. D. Colo. 2018)).

The Thirteenth Circuit's decision should be reversed and the view of the majority of courts should be affirmed for three reasons. First, the plain meaning of the text in section 503(b), specifically section 503(b)(3)(D), demonstrates that substantial contributions are only to be allowed as administrative expenses in chapters 9 and 11 cases, not cases under chapter 7. Second, the legislative history behind section 503(b) indicates a clear intent of Congress to keep substantial contributions only to chapters 9 and 11 cases. Third, courts cannot use principles of equity to ignore the express statutory provisions adopted by Congress. These three issues will be addressed in turn.

A. The text of sections 503(b) and 503(b)(3)(D) specifies that substantial contributions can only be administrative expenses in chapters 9 and 11 proceedings.

As this Honorable Court has directed, the analysis of any statute begins with the plain language of the statute itself. *Marx v. Gen. Revenue Corp*., 568 U.S. 371, 388 (2013). If that language is clear, no further analysis is need. After all, a well-settled principle of statutory

construction is that "Congress says in a statute what it means and means in a statute what it says." *Hartford Underwriters Ins. Co. v. Union Planters Bank, N.A.*, 530 U.S. 1, 6 (2000); *see also In re Hackney*, 351 B.R. 179, 201 (Bankr. N.D. Ala. 2006).

Section 503(b) states that "[a]fter notice and a hearing, there shall be allowed administrative expenses, other than claims allowed under section 502(f) of this title . . . including . . ." 11 U.S.C. § 503(b). The section goes on to set forth categories of administrative expenses and addresses substantial contributions in section 503(b)(3)(D). There, the statute states that an administrative expense will be granted to "a creditor . . . in making a substantial contribution in a case under chapter 9 or 11 of this title." 11 U.S.C. § 503(b)(3)(D). Chapter 7 is noticeably not included. This language is clear and unambiguous. A substantial contribution can only be granted as an administrative expense in either a chapter 9 or 11 case.

The Thirteenth Circuit, however, looking beyond the plain language of section 503(b)(3)(D) found the general language of section 503(b) broad enough to overlook the specific provision on substantial contributions. That general language states that "[t]here shall be allowed administrative expenses . . . *including* . . ." 11 U.S.C. § 503(b) (emphasis added). The Thirteenth Circuit found that this inclusive language empowered it to add to the enumerated categories, including substantial contributions in a chapter 7 case.

Such an interpretation, however, flies in the face of the plain language of the statute and widely accepted canons of statutory interpretation. The plain language of section 503(b)(3)(D) and well-accepted canons of statutory interpretation prohibit the allowance of substantial contribution claims in chapter 7 cases for three reasons. First, specific language prevails over general language. Since section 503(b)(3)(D) specifically addresses substantial contributions as opposed to the general language of section 503(b), 503(b)(3)(D) explicit criteria that a substantial

contribution be in either a chapter 9 or 11 case is the governing authority. Second, if an administrative expense were allowed as substantiation contributions in chapter 7 cases, the language of section 503(b)(3)(D) would be rendered superfluous. Finally, under the canon of *expressio unius est exclusio alterius*, by including chapters 9 and 11 in section 503(b)(3)(D), Congress intentionally excluded administrative expenses from being granted to substantial contributions in chapter 7 cases. These points will be discussed in turn.

1. The general language of section 503(b) is governed by the specific provision, section 503(b)(3)(D), which only allows substantial contributions as administrative expense in chapters 9 and 11 cases.

A general section such as section 503(b) gives way to a specific provision like in section 503(b)(3)(D) that explicitly directs that substantial contributions only be awarded in chapters 9 and 11 cases. This Court has long held that when a general and a particular provision are both applicable, "the particular enactment must be operative, and the general enactment must be taken to affect only such cases within its general language as are not within the provisions of the particular enactment." *RadLAX Gateway Hotel, LLC v. Amalgamated Bank*, 566 U.S. 639, 645 (2012) (quoting *United States v. Chase*, 135 U.S. 255, 260 (1890)). "[I]t is a commonplace of statutory construction that the specific governs the general." *N.L.R.B. v. SW Gen., Inc.*, 137 S. Ct. 929, 941 (2017).

Such is the case here, the general provision of section 503(b) and the specific provision in 503(b)(3)(D) both apply to substantial contributions, but it is the specific provision that is the governing authority. Since section 503(b)(3)(D) applies, the general language of section 503(b) gives way to the requirements that the substantial contribution be in either a chapter 9 or 11 case.

It is true that Congress' use of "including" in section 503(b) implies that sections 503(b)(1)–(b)(9) do not constitute an exhaustive list of potential administrative expenses.

However, the text of the specific subsections of 503(b) govern each of their own specific categories of expenses. While Congress chose to use "including" in section 503(b), the specific subsections within section 503(b) regarding specific categories of expenses each use a qualifying term of their own.

Section 503(b)(3) governs "actual, necessary costs," including substantial contributions. But instead of using the term "including," Congress conspicuously used the term "incurred by" before listing its specific items, implying that the list is limited only to the specified items. To incur means "to suffer or bring on oneself" something such as "a liability or expense." Incur, Black's Law Dictionary (10th ed. 2014). Unlike "including," "incurred by" is not an open-ended or permissive term, meaning the list of actual and necessary costs in 503(b) is limited only to the six specific categories stated. It is also notable that in listing categories, the penultimate category, section 503(b)(3)(E), uses an "or" as opposed to an "and," which further demonstrates that the list is limited only to the items specified.

The use of the term "incurred by" in 503(b)(3) becomes more conspicuous when read in the context of the other subsections of 503(b). Congress used limiting terms like "incurred by" in section 503(b)(3) but used inclusive terms like "including" in the other subsections. For example, in section 503(b)(1)(A), Congress used the term "including" in listing the "actual, necessary costs and expenses of preserving the estate." Similarly, in section 503(b)(8) listing the costs and expenses in closing a health care business, Congress left the list open-ended with the phrase "including any cost or expense incurred by. . ."

The other subsections' use of "including" stands in stark contrast to section 503(b)(3)'s use of "incurred by," demonstrating that Congress has made its intent clear: any expenses that fall into section 503(b)(3)'s definition of "actual, necessary expenses" must be found in the

section's six specified categories, such as section 503(b)(3)(D) on substantial contributions. Substantial contributions fall under section 503(b)(3), through section 503(b)(3)(D); thus, the expense must meet the section's criteria that the expense be in either a chapter 9 or 11 case.

2. Granting an administrative expense to substantial contributions in chapter 7 cases would render the language of section 503(b)(3)(D) superfluous.

If a substantial contribution were allowed as an administrative expense in a chapter 7 cases, section 503(b)(3)(D)'s language that such expenses are allowed "in a case under chapter 9 and 11 of this title" is left without a purpose or meaning. After all, if a claim for a substantial contribution is allowed in a chapter 7 case under the "including" provision of section 503(b), there is no reason why substantial contributions in chapters 9 or 11 cases would not also have been an administrative expense under the general language of section 503(b). Section 503(b)(3)(D) becomes wholly unnecessary.

Such an interpretation contradicts established Supreme Court precedent and basic principles of statutory interpretation, holding that "[a] statute should be construed so that effect is given to all its provisions, so that no part will be inoperative or superfluous, void or insignificant, . . ." *Hibbs v. Winn*, 542 U.S. 88, 101 (2004). Thus, section 503(b)(3)(D) is to be interpreted in a way that gives effect to the entirety of its text, including the part that states that administrative expenses are allowed for "a substantial contribution in a case under chapter 9 or 11 of this title." The only way to give effect to the explicit mention of chapters 9 or 11 is to hold that all other chapters are excluded.

Attempts have been made to read section 503(b)(3)(D) as extending to cases other than under chapter 9 or 11. None have been persuasive. The Thirteenth Circuit relied on the Sixth Circuit's decision in *Connolly* arguing that section 503(b)(3)(D) was intended only to be a guideline and that Congress only listed "the more common administrative expenses intended to

be allowed." *In re Connolly N. Am., LLC*, 802 F.3d 810, 817 (6th Cir. 2015). The explanation for section 503(b)(D)(3)'s explicit mention of the chapters is that "[i]n both chapters 9 and 11, as a matter of course, a creditor will spend its own time and resources to benefit the estate; however, in all but the most atypical chapter 7 case (such as the instant case), the U.S. trustee fulfills this role." *Id*. In other words, substantial contributions arise more frequently in chapters 9 and 11 cases.

However, *Connolly*'s reasoning opens up numerous problems of statutory interpretations and questions of the force of law. First, there is no Supreme Court precedent or canon of statutory interpretation that supports a reading of statutes consistent with the notion that Congress only drafts statutes around what it thinks is common. Neither the Sixth nor the Thirteenth Circuit cited a Supreme Court case or an accepted principle of statutory interpretation to justify treating 503(b) as a list of suggestions without regard to the specific restrictions in the enumerated subsections. *Id*.; (R. 19-20.)

Second, the reasoning in *Connolly* deprives section 503(b) of the force of law and gives courts the ability to ignore the text of the statute. After all, if section 503(b) only outlines what is commonplace, a court can ignore the restrictions in all of the six separate subsections of section 503(b)(3). *In re Engler*, 500 B.R. 163, 174 (Bankr. M.D. Fla. 2013). For example, under section 503(b)(3)(B), administrative expenses are allowed for creditor expenses in recovering property concealed by the debtor, but the creditor must obtain court approval first. 11 U.S.C. § 503(b)(3)(B). If the section 503(b) expenses were only a guideline, a court could overlook the section 503(b)(3)(B)'s court approval requirement simply because section 503(b) is a non-exhaustive list. If such reasoning were accepted, countless other sections of the Bankruptcy Code could be ignored merely because a court deems a particular case to be unusual or unfair.

The only way to give meaning and the force of law to the specific restrictions of section 503(b) is to hold that if the expense is of the category that is specifically addressed in the subsections of 503(b) or otherwise in the Bankruptcy Code, then the expense must meet the criteria of the text of the applicable statute. In the same way, substantial contributions are expressly mentioned in the Bankruptcy Code and thus the criteria of the provision (i.e., that the expenses be incurred in either a chapter 9 or 11 case) must be in compliance.

Finally, if this interpretation is accepted, the question becomes whether any decision regarding section 503(b) is truly precedential. After all, under the new interpretation, a lower court can ignore the plain meaning of the statute and any interpretation of the statute would be in the court's discretion as the expenses are allowed on the equities. This operates against the principles of *stare decisis* that is foundational to our judicial system.

3. By explicitly mentioning chapters 9 and 11 in section 503(b)(3)(D), Congress intentionally excluded administrative expenses from being granted to substantial contributions in chapter 7 cases.

As held by this Court, "where Congress includes particular language in one section of a statute but omits it in another section of the same Act, it is generally presumed that Congress acts intentionally and purposely in the disparate inclusion or exclusion." *Russello v. United States*, 464 U.S. 16, 23 (1983) (internal quotations omitted). Because Congress specifically stated that substantial contributions are allowed in chapters 9 and 11 cases, but not chapter 7 cases, both in sections 503(b)(3)(D) and 503(b)(5), the Bankruptcy Code does not allow substantial contributions as administrative expenses in anything other than chapters 9 and 11.

The well-established canon of statutory interpretation of *expressio unius est exclusio alterius* states that "expressing one item of an associated group or series excludes another left unmentioned." *N.L.R.B. v. SW Gen., Inc.*, 137 S. Ct. 929, 940 (2017). Thus, by expressing

chapters 9 and 11, section 503(b)(3)(D) excludes chapter 7 cases from being allowed substantial contribution administrative expenses.

Under section 503(b), there are nine enumerated subsections listing categories of administrative expenses. The use of the word "including" indicates that the list itself is not exhaustive. However, as previously discussed, the specific provision addressing substantial contributions is governing text. "Including" is not used in section 503(b)(3), which means that the statute is self-contained and *expressio unius est exclusio alterius* (the explicit mention of one is the exclusion of another) is controlling. *In re United Educ. & Software,* 2005 WL 6960237 at *7 (9th Cir. BAP 2005). Section 506(b)(3) outlines a series of items and does not use the term "including," thus, the six expenses under section 503(b)(3) are restricted to only those six. *Id*. Since a substantial contribution under chapter 7 is not provided for in the subsections of 503(b)(3), Congress is inferred to have intentionally excluded it from the Code. *In re Fountainbleau Las Vegas Holdings, LLC,* 574 B.R. 895, 903 (Bankr. S.D. Fla. 2017).

Section 503(b)(3)(D)'s explicit mention of chapters 9 and 11 also distinguishes substantial contributions from the other administrative expenses. Of all the examples of administrative expenses mentioned in section 503(b), the only examples that specify chapter numbers are sections 503(b)(3)(D) and 503(b)(5), both of which regard substantial contributions and specify chapters 9 and 11. All the other examples in section 503(b) do not mention specific chapters, meaning that they are applicable to all chapters in the Bankruptcy Code. The congressional intent is apparent. By explicitly mentioning chapters 9 and 11 in section 503(b)(3)(D), Congress wished to limit substantial contributions only to cases under chapters 9 and 11.

B. The legislative history in drafting section 503(b) demonstrates Congress' intention to only allow substantial contributions to be granted as an administrative expense in chapters 9 and 11 cases.

Congress certainly knew how to create a "substantial contribution" administrative expense, for it explicitly did so in chapters 9 and 11 cases. 11 U.S.C. § 503(b)(3)(D); *Hackney*, 351 B.R. at 201. Congress could have done the same in chapter 7 cases, but it did not. The congressional intent to limit administrative expenses for substantial contributions only to chapters 9 and 11 cases is seen throughout the drafting process. *See Connolly*, 802 F.3d at 821-22 (O'Malley. J., dissenting).

In 1975, Senate Bill 236, one of the earliest versions of the current Bankruptcy Code, stated that an administrative claim "shall be allowed" for "compensation for services, representing a substantial contribution" or an "expense, representing a substantial contribution" in chapter 9 and 11 cases. 1 S. 236, 94th Cong. § 4–403(a)(8), (9) (1975). The same limitation to chapters 9 and 11 was also included in the original House Bill in which the modern structure of section 503(b) came. House Bill 6 stated that substantial contributions are to be administrative expenses in chapters 9 and 11, but not chapter 7. H.R. 6, 95th Cong. (1977).

Future bills in both legislative bodies continued to only allow the administrative expenses in either chapter 9 and 11 cases. *See* H.R. 8200, 95th Cong. (1978); H.R. 7330, 95th Cong. (1977); S. 2266, 95th Cong. (1978) (amended); S. 2266, 95th Cong. (1977). A consistent exclusion of all chapters of 9 and 11 cases for substantial contributions throughout the drafting history of section 503(b) demonstrates that Congress intended to limit administrative expenses only to certain chapters.

C. Even in bankruptcy, courts are not empowered to use principles of equity to circumvent the express statutory provisions adopted by Congress.

The equitable nature of a bankruptcy proceeding does not untether a bankruptcy court from the strictures of the Bankruptcy Code itself. "Bankruptcy courts are not authorized in the name of equity to make wholesale substitution of underlying law . . . but are limited to what the Bankruptcy Code itself provides." *Raleigh v. Ill. Dep't of Revenue*, 530 U.S. 15, 24–25 (2000). Yet instead of relying on the text of the statute, the Thirteenth Circuit relied on policy, arguing that the principles of equity justify that the inclusion of chapter 7 cases for determining substantial contributions as administrative expenses. (R. at 20.) Ideas of equity should not be allowed to ignore the text of 503(b)(3)(D) for the following reasons. First, the equitable nature of bankruptcy is governed by the text of the Bankruptcy Code. Second, there is an overriding policy concern in limiting administrative expenses to maintain funds for other creditors. Finally, creditors like Weinberg have a means for an administrative expense under sections 503(b)(3)(B) or 503(b)(4). These points will be discussed in turn.

First, this Court has made clear that the equitable powers of bankruptcy courts are "only be exercised within the confines of the Bankruptcy Code." *Law v. Siegel*, ––– U.S. ––––, 134 S.Ct. 1188, 1194–95 (2014) (quoting *Norwest Bank Worthington v. Ahlers*, 485 U.S. 197, 206 (1988)). Reasonable minds disagree over what is equitable, but Congress has already stated what it has determined to be fair and equitable in the form of the Bankruptcy Code.

Although it may be argued that allowing expenses for some chapters and not others is unfair, it is not for courts to substitute their judgment of what is equitable for the text of the statute. The Supreme Court has previously held that it is the role of Congress, not the courts, to address the problems or "improper incentives" arising from the plain meaning of the Bankruptcy Code. *Taylor v. Freeland & Kronz*, 503 U.S. 638, 644–45 (1992). As this Court has stated, "[w]e

walk on quicksand when we try to find in the absence of corrective legislation a controlling legal principle." *Helvering v. Hallock*, 309 U.S. 106, 121 (1940). If it is unfair for substantial contributions to be refused allowance as an administrative expense in chapter 7 cases, the proper remedy is through the legislature. *Id*.

Second, allowing concerns of equity override the text of section 503(b)(3)(D) ignores the policy concern in limiting administrative expenses. Administrative expenses, like all priority claims, reduce the funds available for creditors and other parties. *In re Amarex*, 853 F.2d 1526, 1530 (10th Cir. 1988). Under the Bankruptcy Code, administrative expenses receive the highest priority in bankruptcy proceedings other than domestic relations payments. 11 U.S.C. § 507(a)(2). The more administrative expenses that are granted, the less likely it is for other creditors to receive payment.

This Court has previously state that there is "an overriding concern in the [Bankruptcy Code] with keeping fees and administrative expenses at a minimum so as to preserve as much of the estate as possible for the creditors." *Otte v. United States*, 419 U.S. 43, 53 (1974). Congress decided in section 503(b)(3)(D) to limit administrative expenses by only allowing substantial contributions in chapters 9 and 11. The concern to keep such costs at a minimum to preserve funds for other claimants is also why the lower courts have narrowly construed the administrative expenses under section 503(b). *City of White Plains v. A & S Galleria Real Estate, Inc. (In re Federated Dep't Stores, Inc.)*, 270 F.3d 994, 1000 (6th Cir. 2001); *Trustees of Amalgamated Ins. Fund v. McFarlin's, Inc*., 789 F.2d 98, 100 (2d Cir. 1986). There is also a presumption in bankruptcy cases that the debtor's limited resources will be equally distributed among the creditors. *In re Bethlehem Steel Corp*., 479 F.3d 167, 172 (2d Cir. 2007); *In re Amarex*, 853 F.2d 1526, 1530 (10th Cir. 1988). Because administrative expenses must be

narrowly construed, the specific criteria in section 503(b)(3)(D) must be given weight. Subsection 503(b)(3)(D) represents an accommodation between the twin objectives of encouraging meaningful creditor participation in the reorganization process and keeping administrative expenses at a minimum. *Lebron v. Mechem Fin. Inc.*, 27 F.3d 937, 944 (3d Cir. 1994); *Otte*, 419 U.S. at 53.

Finally, Weinberg could have sought to recover his expenses in investigating the fraudulently transferred property under sections 503(b)(3)(B) or 503(b)(4). Such a cost is allowed as an administrative expense under section 503(b)(3)(B), which allows a creditor that recovers for the benefit of the state any property transferred or concealed by the debtor. 11 U.S.C. § 503(b)(3)(B). However, in order to be granted the allowance, the creditor must first gain court approval. *Id*. Weinberg failed to do so. Weinberg was not forced by circumstances to investigate the transfers; he voluntarily undertook the investigation in order to pursue the collection against Clemons on the judgment of the personal guarantee. (R. at 7.) Weinberg could have informed the Trustee early in his investigation, thus allowing the Trustee in this case to complete the investigation, perhaps in a more efficient or inexpensive manner.

Congress is willing to include costs like Weinberg's but uses the court approval as a safeguard to ensure that such creditors do not undertake such measures without the notice and the permission of the court. Denying Weinberg his claim as an administrative expense under section 503(b)(3)(D) would not be undermining the equitable principles of the Bankruptcy Code, because Weinberg had an available means to get the costs recovered had he sought court approval. Weinberg lacked the foresight to gain court approval before pursuing the investigation. While the fact that he benefited from the costs does not forbid him from gaining an

administrative expense in itself, the fact that Weinberg undertook the transfers in a separate cause of action that he would have undergone anyway does not present a problem of inequity.

The Bankruptcy Code only allows administrative expenses priority for a creditor's "substantial contribution" in chapters 9 or 11 cases. 11 U.S.C. § 503(b)(3)(D). The Thirteenth Circuit's ruling fails to respect the plain language of sections 503(b) and 503(b)(3)(D) as well as this Court's prior precedent. Therefore, the Petitioner respectfully request that the Court find that the bankruptcy court erred in granting the chapter 7 substantial contribution to be an administrative expense, and reverse the determination of Thirteenth Circuit.

CONCLUSION

For the foregoing reasons, the Trustee respectfully requests this Court reverse the judgment of the Court of Appeals for the Thirteenth Circuit on both issues.

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